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Mine going concern, except at the bank

By BOB SHAW

The cloud of Bill 31 — the B.C. Mineral Royalties Act — hangs over the efforts of a small mining company to obtain what should be standard bank financing of its copper concentrate production.

Jordan River Mines Ltd. has been turned down for bank financing and/or a guarantee by banks, metal buyers, a major mining company and even the B.C. minister of mines.

The mine, 40 miles southwest of Victoria, was taken over Sept. 1 by the minority shareholder, Dison International Ltd., from Pechiney Development Ltd., a French major which pulled out after investing $5 million and leaving a loss of $3.5 million.

Sid Fowlds of Vancouver, president of Dison who has assumed the presidency of Jordan River, is meeting payrolls with advances from friends and associates while trying to arrange financing based on 80 per cent of net smelter return of concentrates warehoused at the shipping dock.

"As things stand I'm in the middle, between the provincial government and the big mining companies, who now don't care," he said.

Fowlds says the operation is now profitable, since a number of former costs have been eliminated, including $50,000 a month of interest charges on loans from Pechiney — now waived.

The property is the old Sunro mine, which is on crown granted claims held by Cominco Ltd. It is operated on lease, with royalties paid to Cominco.

The mine has had an up-and-down history including a flood in December 1963 which put it out of action for two years. It had subsequent periods in and out of production. It has a unique underground mill.

Pechiney took an interest in 1970 and spent $500,000 to determine production feasibility. In July 1971 it signed a main agreement with Dison International Ltd. undertaking to spend another $1.75 million to put the mine in production with provision for another $250,000 to be spent if needed. Before it was through it had spent $5 million.

Pechiney got a 60 per cent, interest and Dison retained 40 per cent, no matter how much Pechiney spent. Pechiney was to recover its advances and then profits would be shared 60-40. In January 1974 the agreement was amended to give Dison 8 per cent of net cash flow with a minimum of $1,800 a month.

Pechiney still had none of its $5 million back, including an operating loss in 1973 of $1.75 million.

This year Pechiney had two shipments of concentrates at the higher prices and recovered about $1.5 million.

Before deciding to pull out, Pechiney approached the provincial government and asked for a three-year exemption under Bill 31 or the Mineral Land Tax Act, whichever applied. It wanted to spend another $500,000 to possibly prove up more ore and to build a new mill. The government suggested it apply for a deferment.

"Everything the government had ever asked for Pechiney had done," said Fowlds. "They spent $500,000 for a monitored pollution system. They even spent $200,000 of this in May and June, when they were considering pulling out, because they had made a commitment.

"In June they got an order from head office in Paris to pack it up. They still had no decision from the government on their request. If they had been offered a two or three-year exemption they would have spent $500,000 and still be there.

"They called a board meeting of Jordan River Mines. There were three French directors including Andre Haillot, president of Jordan, and two of us from Dison.

"The French directors voted to shut the mine and I voted against it. I thought they were spending too much and that, by trimming, we could make a go of it. They planned to sell the machinery for salvage and, if they had, the mine would never have opened again.

"There are 100 men employed. They live in the communities of Sooke and Jordan River and the payroll is $1.5 million a year. It's important there.

"I said I'd like the opportunity for Dison to take it over but I needed working capital. I phoned a couple of people and they suggested two or three metals dealers.

"One of these, Associated Metals of New York was receptive. We sent them a draft agreement and they agreed, in principle, subject to minor changes, to advance 80 per cent of net smelter return on concentrates at our loading facility at Hatch Point, near Duncan.

"Based on that, we negotiated with Pechiney and this took three weeks. We got a good deal. Pechiney gave us the mine without a down payment. The price was $315,000, which was basically the salvage value of the equipment. It is to be paid off over about two years. For this we get back their 60 per cent share of Jordan, their $2 million debenture and a chattel mortgage, both cancelled, when we complete our payments. We also get the benefits of tax write-offs on a consolidated basis.

"In July Pechiney agreed to keep the mine operating, even if it was losing, so we could take it over as a going concern.

"On Sept. 1 Dison took it over debt free. Pechiney paid all trade creditors and the payroll, including vacation pay, as of Aug. 31. They even paid for items ordered and not yet received.

"They said that, if we could operate and they couldn't, they'd take their loss and go.

"Our pay days are on the 8th and 23rd of the month for miners and 1st and 15th for staff. We were able to get a private loan of about $80,000 for the first week of operation until we could draw on the 80 per cent advance.

"Two days and a weekend before a pay day, Monday, Sept. 9, the New York company phoned and backed off, saying it was not sure how Bill 31 would affect its title to the concentrates. Actually we would come under the Mineral Land Tax Act because the land is crown granted but in New York it's all the same.

"We had a $45,000 payroll to meet and went to the banks. They all refused to make an advance, saying they were not sure how Bill 31 would affect the life of the mine and they liked a continuing arrangement.

"I went to Placer Development. They offered advice but said it was not in their scope to assist financially.

"We have a five-year concentrate marketing contract with Sumitomo of Japan which has four years to run. We asked them for advances. They said they were concerned about their title to concentrates on the dock but would advance us money when a ship was loaded. The mormal payment is made about 45 days to 60 days later, when the concentrates are delivered. I really think Sumitomo went as far as they could, because Japan is flooded with concentrates.

"Then we went to Cominco. It owns 87 per cent of Sunro which owns the property. We pay Sunro a royalty which works out to about 4 per cent of net smelter returns. We also pay the royalty arrears of Cowichan Copper Co., a former lessee.

"I had been to see Cominco in Trail. They agreed to Dison operating the mine and to leave Pechiney harmless after Aug. 31. I asked them to defer royalties until we had paid off Pechiney, but they wouldn't. They also insisted on us paying Cowichan's arrears — about $240,000 still owing. That's their super royalty.

"So I had this Monday payroll to meet and I went to Cominco as a last resort. I asked if they would use moral suasion at the bank or even guarantee the concentrates. I was only wanting 80 cents on the dollar. I met the treasurer. He had the authority but said they were not set up to do anything like that.

"I told him if the mine shut down it would never reopen and they'd never get their royalties and 100 men would be out of work. He said 'too bad'."

(Cominco treasurer M. A. Madley confirmed that Fowlds had discussed financial assistance with him and had been turned down, but he declined to elaborate.)

"I talked to some high priced financing people but the payroll was due Monday and nobody can move that fast," Fowlds continued.

"Cominco had said 'No' at 4:30 Friday. So on Saturday morning I phoned W. J. Tough, president of the mining association of B.C. He said he would try to contact Cominco.

"It ended up that I phoned Keith Meyer, president of Sunro and a Cominco executive, at Trail. I explained again. I suggested he had an obligation to his minority shareholders. He got quite nasty and suggested we were losing money. I told him we were operating profitably and he was making an irresponsible statement.

So I borrowed the money privately from people I know personally and met the payroll.

"Our operation is mainly the difference between a big company operation and a small one. We save $120,000 a month including $50,000 in interest. We can make money down to 56 cents a pound copper.

"Anyway I then phoned Leo Nimsick, the mines minister. He said he had been underground at Jordan River with his deputy minister and it wasn't a mine they were proud of. I asked him if I should pass our 100 men over to Mr. Levi (human resources minister) and he asked us to come in the next day.

"I had met the payroll and I took with me the men who put up the funds. Mr. Nimsick suggested we were asking for money. I said we had a banking situation but the bankers didn't know the effect of Bill 31 on title to the concentrates.

"I asked the department of mines to use its facilities to guarantee an advance of 75 per cent of net smelter. My other party would put up 15 per cent. This would make 90 per cent and provide funds for ore development, which is normal. Mr. Nimsick refused but referred us to the B.C. Development Corp.

"The possibility of losing is remote. Our contract with Sumitomo is c.i.f. Japan. We charter a ship, load it and ship it. And Sumitomo had offered to pay when loaded."

Fowlds explained the new operation and the reason he is confident of success.

The milling rate has been reduced from 1,000 to 800 tons a day and production is 800 to 900 tons of concentrates a month. It needs about $150,000 a month to finance the operation.

Pechiney had financed concentrates with its own money. If it had banked them, it could have passed on the arrangement to Dison. But a new arrangement may take a while. Fowlds has an appointment for today with the B.C. Development Corp.

FOR REPORT
Certified correct as amended in Committee of the Whole on the 19th day of June, 1974.
E. GEORGE MacMINN, *Law Clerk.*

HON. MINISTER OF MINES AND PETROLEUM RESOURCES.

BILL

No. 31] [1974

Mineral Royalties Act

HER MAJESTY, by and with the advice and consent of the Legislative Assembly of the Province of British Columbia, enacts as follows:

1. In this Act, unless the context otherwise requires,
"administrator" means the Administrator of Mineral Royalties appointed under this Act;
"basic value" means the value determined by the Lieutenant-Governor in Council under section 2 to be a basic value in respect of a unit of a designated mineral;
"designated mineral" means a mineral designated by the Lieutenant-Governor in Council under section 2 to be a designated mineral;
"gross value" means the international price, or a combination of international prices, paid or credited to a producer on the sale, disposition, or use by him of a unit of a designated mineral produced by him, less such reasonable costs of and incidental to smelting or otherwise refining, other than by milling, the unit of the designated mineral as are paid or payable by the producer and are approved by the administrator in accordance with the regulations;
"international price" means the price of a unit of a designated mineral established, for the purposes of international trade, by one or more persons or commodity exchange institutions approved by the Lieutenant-Governor in Council.

Silver
Latest Prices
Date Oct. 1, 1974 Spot $4.52

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1000 Oz.	$4520.00	$4670.00	+$90.00
100 Oz.	$ 462.00	$ 482.00	+$ 9.00
50 Oz.	$ 236.00	$ 244.00	+$ 4.50
25 Oz.	$ 119.25	$ 124.25	+$ 2.25
10 Oz.	$ 48.20	$ 50.20	+$ .90

Survival bag of coins $100.00 face value Canadian 90 oz. silver buy $810.00. Sell— U.S. 72 oz. silver buy $296.44, sell $321.44
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